

Institutional Equity Research · Senior Financial Analyst

JPMorgan Chase & Co.

NYSE: JPM · Fundamental Analysis · 27 September 2026

Rating

HOLD

initiation



Prepared for: Cam, CIO / Portfolio Manager · **Position:** 357.85 shares (~\$122,764; 7.21% of portfolio)

Cost basis: \$20,626.53 (avg \$57.64) · **Unrealized:** +\$102,138 (+495%)

Reference price: \$343.06, 25 Sep 2026 close (last close before weekend; live dashboard quote)

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1. Executive Summary & Investment Thesis

JPMorgan Chase is the best-run large bank in the world, and the second quarter proved it again: **record net income of \$21.2B (+41% y/y), EPS of \$7.70 (+47%)**, record revenue in every line of business, a 23% return on tangible common equity, and a raised full-year net interest income guide. The fortress balance sheet (14.1% CET1), the \$6.2B quarterly buyback, and a dividend just raised to \$1.65 per quarter all confirm a compounder operating at the top of its game.

The problem is that the market knows. At **\$343.06**, the stock trades at **~3.0× tangible book value** — a multiple that prices in the excellence rather than discounting it — with only ~5% upside to the \$360.58 street consensus and Morningstar's fair value (\$326) sitting *below* the current price. Jamie Dimon himself called the environment "as good as it gets." For a bank, that sentence is both a compliment and a warning: peak-cycle earnings deserve peak-cycle multiples only if the cycle extends.

Bottom line: Initiate at **HOLD** with a **\$360** 12-month target — ~4.9% price upside plus a ~1.9% forward dividend yield for a ~6.8% total return. The target is anchored on ~2.9× estimated September-2027 tangible book value per share of ~\$125, a mild normalization from today's 3.0× trailing multiple. This is a keep-and-collect-the-dividend position, not an add — the time to press was any of the last five years, when Cam's \$57.64 average cost was being built.

Portfolio note: At **7.21% (~\$122,764)** JPM is the portfolio's largest holding and its financial-services anchor, up **495% (\$102,138)** on cost. No action is required at HOLD: the position earns its weight through earnings compounding and a ~\$2,362/year forward dividend stream. The standing discipline is to **trim**

only on strength above ~\$365 (the \$366.50 52-week high) or if the weight drifts above 8% — harvesting into euphoria, not selling quality.

2. Business Overview

JPMorgan Chase, roots to 1799, is the largest US bank by assets (~\$5.0T) and the most diversified: a consumer bank serving roughly half of American households, the world's #1 investment bank by fees, the largest markets franchise on Wall Street, and a \$5.1T asset-management platform. Four operating segments:

Segment	Q2 2026 revenue	Y/Y	Role
Consumer & Community Banking (CCB)	\$20.27B	+8%	Branch/digital banking, card, auto, wealth — the deposit franchise
Commercial & Investment Bank (CIB)	\$24.85B	+27%	IB fees, markets, payments, wholesale lending — the cyclical engine
Asset & Wealth Management (AWM)	\$6.85B	+19%	\$5.1T AUM; fee-steady compounder
Corporate	—	—	Treasury, Visa stake, equity investments — lumpy by design

Over the last five years roughly half of total revenue came from net interest income and half from fee/noninterest sources — the balance that lets JPM earn through both rate regimes.

3. Q2 2026 Financial Performance — the Record Quarter

Reported July 14, 2026. Every major line set a record. The beat was overwhelmingly driven by Markets and investment-banking strength plus one-time investment gains — which is precisely why the quarter, spectacular as it was, should not be annualized naively.

Metric	Q2 2026	Y/Y	vs consensus
Net income (GAAP)	\$21.2B	+41%	—
Diluted EPS (GAAP)	\$7.70	+47%	Beat ~\$5.55–5.85 by ~32–39%
Net income ex-significant items	\$16.9B	—	EPS \$6.14 ex-Visa/equity gains
Managed revenue	\$58.0B	+27%	Beat ~\$50.6–51.4B by ~13%
Net interest income	\$25.51B	+10%	Slight miss vs \$25.65B est
Noninterest revenue	\$32.4B	+45%	Markets + IB surge
Noninterest expense	\$27.32B	+15%	Comp, brokerage, tech
Managed overhead ratio	47%	—	Improved; reported 48% vs 53% PY
Provision for credit losses	\$2.52B	–12%	Benign
ROTCE	23%	—	Elite for a money-center bank
Tangible book value / share	\$113.35	+10.8%	Beat \$111.47 est

Quality of the beat: roughly \$4.3B of the \$21.2B net income (the Visa share gain plus equity-investment gains, ~\$1.56 of the \$7.70 EPS) is non-recurring. The clean \$6.14 EPS is still excellent — up double-digits and ahead of estimates — but the right baseline for forward modeling is the ex-items number, not the headline. This distinction matters for valuation: capitalizing one-time gains at 14× would overstate normalized earnings by ~20%.

4. Segment Analysis

Commercial & Investment Bank — the quarter's hero

CIB revenue of **\$24.85B (+27%)** and net income of **\$9.68B (+46%)** at a 22% ROE carried the quarter. Investment-banking fees hit **\$3.28B (+30%)** — advisory \$1.0B (+20%, financial-institutions/tech/diversified deals), debt underwriting \$1.4B (+19%, IG and leveraged), equity underwriting \$829M (+78%, large IPOs and converts). Markets revenue of **\$12.1B (+35%)** was the standout: **Equity Markets \$6.03B (+86%)** on strong performance across products and regions, Fixed Income \$6.05B (+6%, credit/currencies/rates offsetting soft commodities). Payments added \$5.3B (+12%) and Securities Services \$1.66B (+17%). The honest caveat: equity-trading and IB-fee levels this strong are cyclical peaks, not run-rates — underwrite the forward case on mid-cycle Markets, not Q2's print.

Consumer & Community Banking — the franchise moat

CCB revenue of **\$20.27B (+8%)** and net income of **\$5.31B (+3%)** look pedestrian next to CIB, but this is the durable engine: card sales volume **\$535.8B (+10%)**, active mobile customers **63.7M (+6%)**, average deposits \$2.69T firm-wide (+7%). The deposit franchise — sticky, low-cost, enormous — is what funds the entire balance sheet and what competitors cannot replicate at this scale. Card NII benefited from higher revolving balances; wealth-management fees added a steady kicker.

Asset & Wealth Management — quiet compounding

Revenue **\$6.85B (+19%)**, net income ~\$1.96B (+33%), **AUM \$5.1T (+18%)** with \$50B of long-term net inflows and total client assets of \$7.7T (+19%). A record 44,000 first-time wealth investors in the quarter signals the funnel is widening. This is JPM's highest-multiple earnings stream and its best structural grower — every point of market appreciation and every inflow compounds fee revenue without credit risk.

5. Net Interest Income & the Rate Environment

NII is the stock's fundamental anchor — roughly half of revenue over five years — and the trajectory just improved. Management **raised full-year 2026 NII guidance to ~\$105.5B** (from ~\$103B), with NII ex-Markets at ~\$96.5B (from ~\$95B). Q2 NII was \$25.51B (+10% y/y; ex-Markets \$23.68B, +4%), powered by 10% average loan growth (\$1.52T) and 7% deposit growth (\$2.69T).

The September 16 FOMC **hike** to 3.75–4.00% — the first increase since July 2023, with the dots median pointing higher — is a net positive for JPM's NII arithmetic: higher-for-longer extends the window of elevated net yields. But two yellow flags from the Q2 data deserve attention: the net yield on interest-earning assets **slipped to 2.40%** (from 2.43%) as funding costs crept up, and noninterest-bearing deposit growth has **decelerated to ~6%** — the structural deposit advantage is eroding at the margin. NII can still grow from balance-sheet expansion, but margin *expansion* is largely done. Underwrite NII growth, not NIM expansion.

6. Credit Quality

Credit remains benign — the single most important confirmation in a late-cycle, higher-rate environment. The provision for credit losses **fell 12% y/y to \$2.52B**; net charge-offs were \$2.4B (down \$44M); the reserve build was a token \$149M, mostly wholesale. In Card Services, the net charge-off rate **improved to 3.34%** (from 3.47% in Q1), and management **cut the full-year Card NCO guide to ~3.2%** (from 3.4%).

The watch items: Card NCO dollars are still **trending up ~4% y/y (~\$2.0B)** — early normalization, not deterioration — and management flagged continued pressure on lower-income households from elevated living costs and rates. Wholesale credit (CIB's \$356M provision) bears watching if commercial real estate stress resurfaces. For now, JPM is being paid to take credit risk and experiencing almost none of it.

7. Balance Sheet, Capital & Capital Allocation

Capital / liquidity	Q2 2026	Comment
CET1 capital	\$303B	Standardized ratio 14.1%; advanced 14.2%
Supplementary leverage ratio	5.5%	Well above minimums
Liquidity coverage ratio	110% firm / 118% bank	Fortress liquidity
Total assets	\$5.015T	Cash & equivalents \$309.8B
Q2 common dividend	\$4.0B (\$1.50/sh)	Raised to \$1.65/qtr thereafter
Q2 net buybacks	\$6.2B	LTM net payout ratio 73%

The capital story is straightforward: JPM generates far more capital than regulation requires and returns the surplus aggressively. The dividend raise to **\$1.65 quarterly (\$6.60 annualized, ~1.9% forward yield)** plus a \$6.2B quarterly buyback pace means shareholders are paid twice — income today, per-share compounding tomorrow. With CET1 at 14.1% against requirements in the ~11–12% zone, there is ample headroom to sustain both through a downturn. The forward dividend stream on Cam's 357.85 shares is **~\$2,362/year**.

Note: the September portfolio export shows a \$6.00 trailing dividend figure; the \$1.65 quarterly rate (\$6.60 annualized) reflects the July 2026 raise and is the correct forward number.

8. Leadership & Succession

The June 25, 2026 reshuffle settled the succession question into a clear two-horse race: **Doug Petno** (CEO of the commercial & investment bank) and **Troy Rohrbaugh** (CEO of consumer & community banking) were named **co-presidents**, while longtime heir-apparent Marianne Lake retired after 25+ years. Dimon plans to stay as CEO for **about three more years** before transitioning to executive chairman — the board is keen to keep him — and both contenders received **\$30M retention RSUs** vesting through 2028 tied to a $\geq 12\%$ ROTCE target (Jennifer Piepszak and Mary Erdoes got \$20M each).

For the investment case this is net positive: three more years of Dimon removes near-term key-man risk, the retention structure aligns the contenders with shareholders, and Rohrbaugh's rotation into consumer banking gives him the breadth the role demands. The residual risk is the one markets always price around successions — whether the next CEO sustains the culture and the through-cycle discipline. That is a 2029 problem, not a 2026 one.

9. Competitive Position

JPM competes with everyone and is beaten by no one at scale. Against the money-center peers (Bank of America, Citigroup, Wells Fargo) it earns structurally higher returns — 23% ROTCE versus mid-teens for

the peer group — because of three compounding advantages: (1) the **#1 deposit franchise**, which funds the balance sheet more cheaply than any rival; (2) the **#1 investment bank and markets franchise**, which monetizes volatility and deal flow; (3) **scale in technology spend** (~\$18B+/year), which widens the digital moat every year. Against Goldman Sachs and Morgan Stanley it offers the same Wall Street earnings plus a consumer bank and a fortress balance sheet — at a lower multiple than the pure-play investment banks currently command.

The premium is the point of contention: the market already pays for this superiority. JPM's valuation premium to peers is the largest in large-cap banking — deserved, in our view, but it leaves less room for multiple expansion and more downside if returns normalize.

10. Risks

- **Cyclical peak risk.** Record Markets revenue (+86% in equities trading), record IB fees, and Dimon's own "as good as it gets" — the base case must assume normalization, not extrapolation. A capital-markets slowdown would hit the highest-beta earnings first.
- **Credit normalization.** Card NCOs are rising in dollars; lower-income consumer stress is acknowledged by management. A recession would turn the 3.2% Card NCO guide into 5%+ and the provision from tailwind to headwind.
- **Rate-path reversal.** The NII upgrade assumes the higher-for-longer path. Aggressive Fed easing would compress NII even as it helped credit — JPM is asset-sensitive enough for this to matter.
- **Expense creep.** Adjusted 2026 expense guide of ~\$107.5B (+15% y/y in Q2) is growing faster than core revenue; the bank is investing through the cycle, but operating leverage is negative until revenue catches up.
- **Regulatory / capital.** Basel endgame calibration and any future stress-test surprises could raise required capital and slow buybacks. Political scrutiny of large-bank fees and overdraft practices is a perennial headline risk.
- **Succession execution.** Low probability, high impact — the 2029 transition must preserve the risk culture. The retention RSUs mitigate but do not eliminate this.
- **Valuation.** At 3.0× tangible book, the stock has the least margin of safety of any point in the last five years. Quality does not immunize against multiple compression.

11. Valuation

For a bank, price-to-tangible-book is the primary multiple, P/E the cross-check, and the dividend the floor.

Multiple	Level	Assessment
Price / tangible book (trailing)	\$343.06 / \$113.35 = 3.03×	Historically rich; prices in peak-cycle returns
Price / TTM earnings	14.0× (\$20.51 TTM EPS)	Reasonable vs market; full vs history
Forward dividend yield	\$6.60 / \$343.06 = 1.92%	Growing; payout sustainable at 73% LTM total payout
Street consensus target	\$360.58 (16 Buy / 12 Hold)	+5.1% implied upside — the market's own verdict: fairly valued
Morningstar fair value	\$326 (3 stars)	Below market — the value community's verdict: fully valued

Target derivation — \$360: Tangible book value per share has compounded at ~10.8% y/y to \$113.35. Growing it at ~10% for twelve months gives estimated September-2027 TBVPS of ~\$125. Applying a **2.9×** multiple — a modest normalization from today's 3.03× trailing, reflecting peak-cycle caution — yields ~\$362, rounded to **\$360**. Sanity checks: the target sits at the street consensus (\$360.58), implies 14.4× a normalized ~\$25 forward EPS, and delivers a ~6.8% total return including the \$6.60 dividend. Upside case (~\$400, the UBS/Barclays zone): NII beats the \$105.5B guide and Markets stays hot — 3.2× forward TBV. Downside case (~\$300): credit normalization plus multiple compression to 2.4× forward TBV.

12. Catalysts & What to Watch

- **Q3 earnings — October 13, 2026, 8:30am ET** (16 days out): the immediate checkpoint. Watch NII trajectory vs the \$105.5B guide, Markets revenue normalization, Card NCO rate vs 3.2%, and any buyback pace change.
- **Net interest income prints** through year-end: each quarter that holds the \$105.5B guide de-risks the bull case; a cut would hit the multiple.
- **October FOMC (Oct 27–28):** ~68% odds of another hike per recent pricing — incrementally NII-positive, but watch Dimon's commentary on duration of "as good as it gets."
- **Capital-markets activity:** IPO calendar and announced M&A into year-end drive the IB-fee outlook for 2027.
- **Credit data:** monthly Card delinquency/NCO disclosures — the earliest signal if normalization accelerates.

13. Portfolio Fit & Sizing

Portfolio lens	JPM — 357.851 shares @ \$343.06 = \$122,764 (7.21% weight), the portfolio's largest position
Cost & gain	Basis \$20,626.53 (avg \$57.64); unrealized +\$102,138 (+495%) — the single biggest dollar winner in the book
Role	Financial-services anchor: the only money-center bank, diversifying the tech/AI-heavy growth sleeve; dividend compounder (~\$2,362/year forward)
Recommendation	HOLD. 7.21% is a full anchor weight — no add at 3.0× book. Standing discipline: trim toward 6% only on strength above ~\$365 (52-week high \$366.50) or if weight exceeds 8%; use any proceeds per the portfolio's staged-add opportunities (TSM/NVDA gates). Never sell quality into weakness — the \$279 52-week low zone would be a re-underwrite, not an exit.
Tax note	A trim would realize long-term gains at this cost basis — coordinate any sale with the tax picture before executing; the HOLD rating requires no action.

Appendix A — Sources

Report body contains no inline citations per standing instruction; all sources are listed here.

1. JPMorgan Chase Q2 2026 earnings release and earnings presentation (8-K filed July 14, 2026) — via StockTitan 8-K summary.
2. JPMorgan Chase Form 10-Q for quarter ended June 30, 2026 (filed with SEC) — segment detail: IB fees, Markets revenue, credit costs.
3. JPMorgan Chase investor-relations calendar — Q3 2026 earnings call scheduled October 13, 2026, 8:30am ET.
4. Finnhub market data for JPM (quote snapshot September 2026): price \$343.06, 52-week range \$279.10–\$366.50, P/E 14.0×, market cap ~\$912B, beta 1.04, returns (YTD +6.47%, 1-yr +8.54%, 6-mo +21.29%).
5. MarketBeat consensus data via American Banking News / The Markets Daily (September 21–26, 2026): 16 Buy / 12 Hold, Moderate Buy, average target \$360.58.
6. Jefferies price-target cut \$370 → \$365 (Hold), September 24, 2026 — via American Banking News.
7. Wells Fargo target raise \$375 → \$390 (Overweight), August 14, 2026; UBS \$384 → \$400 (Buy), August 3, 2026; Barclays \$391 → \$420 (Overweight), July 15, 2026; RBC \$330 → \$370 (Outperform), July 15, 2026; Deutsche Bank upgrade to Buy \$375, July 22, 2026; Truist \$344 → \$352 (Hold), July 15, 2026; Evercore ISI Outperform \$360, July 6, 2026; Weiss Ratings upgrade to Buy+, September 2, 2026; Zacks downgrade to Hold, September 14, 2026.
8. Reuters, June 25, 2026: Doug Petno and Troy Rohrbaugh named co-presidents; Marianne Lake retirement; Dimon to remain CEO ~3 more years.
9. TheStreet, September 2026: succession pipeline, \$30M retention RSUs tied to ≥12% ROTCE 2026–2028, Dimon timeline.
10. Financial Times via NY Post, July 2026: Marianne Lake succession reporting.
11. Zacks, July 14, 2026: Q2 earnings analysis — segment revenues, provision, NII ex-Markets.
12. Motley Fool, July 16, 2026: Q2 results, Dimon "as good as it gets" commentary, NII guide raise.

13. AlphaStreet analysis: NII trajectory, deposit-beta and expense observations.
14. Ad-hoc-News, September 23, 2026: stock 7.9% below yearly high; Q3 earnings date confirmation.
15. Weekly Market Intelligence brief (September 25, 2026): FOMC September 16 hike to 3.75–4.00%, dots median, October hike odds; used for rate-environment context.
16. Portfolio position data: retirement-portfolio-52.xlsx workbook (holdings.json), September 2026.

Appendix B — Glossary

NII — net interest income. **CET1** — Common Equity Tier 1 capital ratio. **ROTCE** — return on tangible common equity. **TBVPS** — tangible book value per share. **NCO** — net charge-off. **LCR/SLR** — liquidity coverage / supplementary leverage ratios. **CIB/CCB/AWM** — Commercial & Investment Bank / Consumer & Community Banking / Asset & Wealth Management.

Appendix C — Disclosures

This report is prepared for Cam as CIO/Portfolio Manager by his Senior Financial Analyst (Muse). It is analytical and advisory only — not investment advice, not an offer to buy or sell. Estimates and targets are opinions based on public filings and market data as of 27 September 2026; reported, calculated, and estimated figures are distinguished in the text. Cam executes all investment decisions. No position changes are presented as completed unless confirmed by Cam.

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